AbbVie ABBV

NYSE · Healthcare · Drug Manufacturers - General · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
353.68	291.31	+21.4%	+22.9%	514.9bn	2.4%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 1.02	USD	DO USD 6.92

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 353.68, against a price of USD 291.31. The price implies 4.5% dividend growth forever, although Skyrizi and Rinvoq grew 23–24% in Q3 [1]. GAAP EPS of 5.82 hides this: it carries charges for acquired research [1]. Consensus has adjusted EPS rising from 13.98 to 16.19.

MARGIN OF SAFETY AND ALPHA

Margin of safety +21.4%, alpha +22.9% a year (IR 1.02), assuming the gap closes within one year.

CATALYST

Medicare negotiated price for Botox · `By 30 Nov (CMS)`. Botox is in the third negotiation cycle, and CMS must publish the agreed prices by 30 Nov 2026 [4]. Botox had USD 1.1bn of Medicare spending [4]. A known price, effective in 2028, removes an overhang.

FDA decision on Rinvoq in vitiligo · `About 3 Dec (ours)`. Filed on 3 Feb 2026 [3]; a standard 10-month review points to early December. No date is published. It would be the first systemic treatment for vitiligo [3], supporting the growth in our first stage.

DECISION

Long candidate. We buy, although the margin of +21% is below our 25% rule and the comparables give USD 274.70. Growth has returned after Humira, the dividend rises 5.2% in 2027 [1], and the low β limits the risk the stock adds.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

AbbVie returns cash mainly through dividends, raised every year since 2013, with small buybacks. We use two stages because earnings are rebounding from the loss of Humira's patent, faster than they can grow forever: 22.1% for 4 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 185.06: it misses the rebound. P/B and ROE are meaningless, as book equity is negative. GAAP P/E is distorted by charges for acquired research [1]. Peers such as Eli Lilly grow at other rates, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 291.31	Close 06.11.26, not adjusted
D_0 used	USD 7.47	Dividends, 12 months + last FY buybacks per share
β	0.52	Bloomberg 60-month β
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	7.16%	CAPM
g_1, first stage	22.1%	Bloomberg, long-term EPS growth (LTG)
T, years	4	Years of the post-Humira earnings rebound; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 185.06	−36% vs price
Two-stage value	**USD 353.68**	**+21% vs price; 88% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
6.16%	363.52	409.11	469.13	551.73	672.58
6.66%	323.25	358.55	403.51	462.69	544.13
7.16%	290.80	318.87	**353.68**	398.01	456.37
7.66%	264.10	286.89	314.57	348.90	392.61
8.16%	241.76	260.58	283.05	310.35	344.21
Upside	−0%	+9%	+21%	+37%	+57%

Two-stage DDM value, USD. Shaded: at or above the price of 291.31. Dark: base case. Upside at the base k.

The value stays above the price in 19 of 25 cases, but it falls to the price if k rises by about 0.9 point or g2 falls by 1 point. With the terminal value at 88%, the value rests on k and g2.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

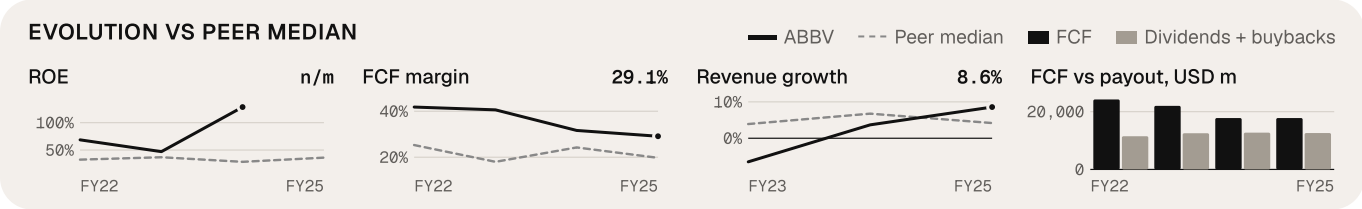
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
LLY Eli Lilly	1,206.1	26.9x	n/m	26.9x
JNJ Johnson & Johnson	664.9	23.8x	34.4x	20.1x
MRK Merck	361.7	16.3x	29.3x	13.8x
AMGN Amgen	249.0	18.4x	30.7x	16.4x
GILD Gilead Sciences	207.0	16.5x	21.9x	15.4x
PFE Pfizer	167.5	10.0x	18.5x	8.7x
Peer average		18.7x	27.0x	16.9x
Peer median		17.5x	29.3x	15.9x
ABBV AbbVie	**514.9**	**18.0x**	**28.9x**	**18.4x**
Implied price at peer average		301.94	271.72	264.11
Implied price at peer median		282.55	294.97	246.58

Comps value USD 274.70 (−6%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	n/m	36.1%	81.4%	n/a	n/a	
Profitability	ROA	3.2%	13.4%	5.1%	worse	worsening	**Red flag**
Profitability	FCF margin	29.1%	19.8%	38.0%	better	worsening	
Growth	Revenue growth	8.6%	4.2%	−1.4%	better	improving	
Growth	Gross margin	70.2%	74.6%	67.5%	worse	improving	
Safety	Debt / equity	n/m	1.02	9.86	n/a	n/a	
Payout	Payout / FCF	0.71	1.01	0.59	better	worsening	

Earnings test: adjusted EPS 10.00 (FY25) → 13.98 → 16.19 (forward): rising. Trailing GAAP EPS of 5.82 includes one-off items.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Watch: ROA is below peers, as the Allergan purchase left large intangibles and acquired research is expensed. Cash tells a better story: the FCF margin beats peers and dividends and buybacks take 0.71 times FCF. Debt is USD 80.9bn against USD 10.8bn of cash [2]. **Earnings are recovering, not falling.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+22.9%	1.02
Gap never closes	α never = $D_1 / P_0 + g - k$	−1.5%	−0.07
Used: closes in 1 year	**Goes into Treynor-Black**	**+22.9%**	**1.02**

Two dated decisions fall inside the window [3][4], so we assume the gap closes within a year (α closed). The comparables give USD 274.70, below the price, so this alpha is an upper bound. IR 1.02, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: A LOW β AND A HIGH TERMINAL VALUE

Bloomberg's 60-month β of 0.52, far above the 0.20 of our own regression on SPY, gives k of 7.16%, and the terminal value is 88% of the value. A β above about 0.71, or g1 below about 16%, would put the value below the price. Humira sales fell 31% in Q3 [1].

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

Skyrizi and Rinvoq already replace Humira, and the 2026 EPS guide rose to USD 13.95–13.99 [1]. CEO Rob Michael, in charge since 2024, keeps raising the dividend while buying research. No activist route at this size.

Model flags: *DDM and comparables disagree ("mixed: check"); IR of 1.02 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] AbbVie, Q3 2026 results, 30 Oct 2026. [2] AbbVie, Form 10-Q, Q3 2026. [3] AbbVie, Rinvoq vitiligo filings to FDA and EMA, 3 Feb 2026. [4] CMS, selected drugs for 2028 (third cycle), Jan 2026. Market data: Yahoo Finance and FRED, downloaded 08.11.26.